BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

April 10, 2025

Update Testimony of:

Information Technology Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

INFORMATION TECHNOLOGY PANEL
UPDATE/CORRECTION

Q. Please state the Information Technology Panel ("Panel") member's names.

A. Kamran Ziaee, Joseph Miller, Shakira Wilson, Jeannine Haggerty, Allisyn Glasser, and Michael Murphy.

Q. Has the Panel previously submitted testimony in these proceedings on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company")?

A. Yes. We submitted direct testimony as part of the Company's January 2025 filing.

Q. What is the purpose of the Panel's update and correction testimony?

A. This testimony corrects discrepancies between the Panel's testimony and exhibits regarding its capital and operation and maintenance ("O&M") funding requests, as well as for the requested number of full-time equivalents ("FTEs"), that were discovered after the January 2025 filing.

We also explain reductions to four programs, IT Telecomm O&M program, the IT Hardware and Software Maintenance program, the Billing and Payments

Enhancements Program, and the REV – Grid Modernization (DSP) Program.

Q. Has the Panel updated any exhibits based on these changes?

A. Yes. We updated the following exhibits: Exhibit___(IT-1), Exhibit___(IT-2), Exhibit___(IT-3), and Exhibit__(IT-4). We have also filed corrected white papers that appear in the following exhibits: Exhibit___(IT-4), Exhibit___(IT-5), Exhibit___(IT-6), Exhibit___(IT-7) and Exhibit___(IT-8).

Q. Were these updates prepared under your direction and supervision?

A. Yes.

MARK FOR IDENTIFICATION AS EXHIBIT__(IT-1-Upd), EXHIBIT__(IT-2-Upd), EXHIBIT__(IT-3-Upd), EXHIBIT__(IT-4-Upd), EXHIBIT__(IT-5-Upd), EXHIBIT__(IT-6-Upd), EXHIBIT__(IT-7-Upd), and EXHIBIT__(IT-8-Upd).

Exhibits __(IT-1) through (IT-4) Corrections/Updates

Q. Please explain the changes made to Exhibits __(IT-1) through (IT-4).

A. **Exhibit __(IT-1-Upd)** corrects the capital funding requests, for the 12 months ending December 2026 ("RY1"), for the 12 months ending December 2027 ("RY2"), and for the 12 months ending December 2028 ("RY3"), for the items that appear in yellow. These corrected values are included in the revenue requirement presented by the Accounting Panel in its Update testimony. All but approximately $4M in capital funding requests were included in our initial revenue requirement calculations. We also made one minor correction to the Gas_IT_Projects_GOSS and Gas Application and Hardware Upgrade white paper, as discussed later in this testimony.

Q. Please summarize the total capital investment funding being requested by the Panel, based on the new exhibit.

A. The Panel's total capital spending request is now $984.346M in RY1, $894.363M in RY2, and 767.486M in RY3. The request in the January 2025 filing was

$1,024M in RY1, $931.570M in RY2, and $781.626M in RY3. The net change in the amount requested in update is a reduction of $91.001M.

Q. Please explain the changes made to Exhibit __(IT-2).

A. **Exhibit __(IT-2-Upd)** reduces O&M funding for four programs and corrects the RY1 through RY3 incremental O&M funding requests for the items that appear in yellow in the updated exhibit. The corrected values are included in the revenue requirement presented by the Accounting Panel in its Update testimony.

Q. Please summarize the four programs you are reducing funding for?

A. The Company is reducing the IT Telecom O&M program incremental O&M request from $7M in RY1 and $.924M in RY2 to $3.874M in RY1, $.374M in RY2, and $.012M in RY3. The Company is also reducing the IT Hardware and Software Maintenance program incremental O&M request from $37.189M in RY1, to $30.189M in RY1. The RY2 and RY3 requests, at $15.617M and $2.79M respectively, remain unchanged.

Q. How did the Panel determine that the Company could reduce its requests for these programs?

A. We determined that we could decommission certain circuits and workloads, and consolidate and relocate capacity to alternate on-premises data centers. This will extend the use of some data centers and reduce our need for cloud and colocation expansion. We also have multi-year contracts for these services and expect to pay reduced costs for upcoming telecom and mainframe utility software and maintenance renewals.

Q. Do the reductions to these programs change the number of FTEs required to support them?

A. No. Nine additional FTEs are still required to support these programs - seven for IT Telecom and two for IT Hardware and Software Maintenance.

Q. Please discuss the next program that you are reducing the funding request for.

A. The Company is reducing the Billing and Payments Enhancements incremental O&M request from $.25M in RY1 to $(5.333M) in RY1.

Q. How did the Panel determine that the Company could reduce its request for this program?

A. The Company recently negotiated a contract with its billing and payment vendor and was able to save approximately $5.6M through lower debit card and credit card transaction fees, and reduced per-document processing fees for sending correspondence. These savings should have been included in the initial request.

Q. Please discuss the fourth program that you are reducing the funding request for.

A. The Company is reducing the REV - Grid Modernization (DSP) incremental O&M request from $.721M in RY1, $(.005M) in RY2 and $(.198M) in RY3 to $($1.44M) in RY1, $(.060M) in RY2 and $(.254M) in RY3

Q. How did the Panel determine that the Company could reduce its requests for this program?

A. The Company identified an error after the January 2025 filing. Approximately $2.1M was reduced in RY1, reflecting a cost category error for non-labor that was not characterized as regulatory asset in the

original white paper, as well as labor charges that were inadvertently included in the original white paper.

Q. Can you summarize the total incremental O&M funding requested by the Panel, based on the new exhibit?

A. Yes. The total incremental O&M funding requested by the Panel is $141.689M in RY1, $57.965M in RY2, and $30.467M in RY3. The request in the original filing was $163.621M in RY1, $55.418M in RY2, and $29.327M in RY3. The net change in the amount requested in update is a reduction of $18.245M.

Q. Do you have any other O&M corrections?

A. Yes. We are making O&M corrections to 14 white papers, which we discuss later in this testimony. These corrections are reflected in Exhibit __(IT-2-Upd) and in the Accounting Panel's updated revenue requirement.

Q. Please explain the changes made to Exhibit __(IT-3-Upd).

A. **Exhibit __(IT-3-Upd)** corrects the FTEs requested by the Company to implement its IT projects and programs.

Due to a sorting error that occurred prior to the filing, much of the data contained in the original exhibit was misaligned and, as a result, inaccurate.

Q. Do these corrections increase the revenue requirement?

A. No. The costs for these FTEs were included in the initial O&M and capital funding request and were included in the revenue requirement.

Q. Please explain the changes made to Exhibit __(IT-4).

A. **Exhibit __(IT-4-Upd)** corrects a labeling error in the initial filing, as the exhibit was originally labelled as Exhibit __(SSP-4). We are also correcting information for several white papers in the exhibit.

WHITEPAPER CORRECTIONS

Q. Please explain the white paper corrections you are making.

A. We are correcting twenty white papers, including the four O&M related white papers we already mentioned. Many of these corrections are to match the dollar value on the white paper to what was included in the

initial revenue requirement (and remains in the updated revenue requirement). In sum:

White Papers Corrected in Exhibit __(IT-4-Upd)

1. **IT Telecom O&M** – O&M funding request updated to reflect our reassessment of the workload in this area, as discussed above, and to conform to revised __(IT-2).
2. **O&M for IT Hardware and Software** – O&M funding request updated to reflect our reassessment of the workload in this area and to conform to revised Exhibit __(IT-2).
3. **IT Quality Assurance & Compliance Office** – O&M funding request corrected to show total O&M dollars required. The original version showed incremental asks only.
4. **IT Talent Transformation Team** - O&M funding request corrected to reflect initial understatement and lack of historic year information and to conform to Exhibit __(IT-2-Upd).
5. **Gas Applications** - O&M funding request corrected to match values included in the revenue requirement, reflect initial understatement and lack of historic

test year information, and conform to Exhibit __(IT-2-Upd).

6. **Enterprise Geographic Information System (eGIS) Support** – Updated to show historic year information and correct the total funding request. The original version did not include the historic year spending, showing only the incremental ask.

7. **Asset Risk Management Software** – White paper, which was inadvertently left out of the exhibit filed in January has been added, updated to align with Exhibit __(IT-2-Upd) and matches the originally filed revenue requirement.

White Papers Corrected in Exhibit _ (IT-5-Upd)

8. **Customer Recommendation & Analysis Tools** – O&M funding request corrected to match value included in the revenue requirement, include revenue requirement backup, and conform to Exhibit __(IT-2-Upd).

9. **Billing & Payment Enhancements** – As discussed above, there is an updated O&M request (new incremental decrease)

to reflect a reduction of $5.6 million annually over RY1-3 based on a renegotiated contract.

White Papers Corrected in Exhibit __(IT-6-Upd)

10. **Grid Edge Renewable Laboratory (GERL)** – Discussion of incremental FTEs corrected to conform to Exhibit __(IT-3-Upd).
11. **Integrated Grid Management Visualization Optimization (IGMVO)** - Corrected to show historic test year information; discussion of incremental FTEs corrected to conform to Exhibit __(IT-3-Upd).
12. **AMI Systems Sustainability Program** – Updated to include historic year information and correct the total funding requested. The original version did not include the historic year spending, showing only the incremental ask.
13. **Gas IT Projects - GOSS and Gas Application & Hardware Upgrade** – O&M funding request corrected to match value included in the revenue requirement, show EOE breakdown and provide values for 2025 and 2029, as well as to conform to revised IT-2 Capital request.

14. **REV-Grid Modernization (DSP)** – As discussed above, O&M funding request reduced due to an error identified after the January 2025 filing. Approximately $2.1M was reduced in RY1, reflecting a cost category error for non-labor that should have been characterized as regulatory asset in the original white paper, as well as labor charges that were inadvertently included in the original white paper.
15. **Transforming Outage Management with Advanced AMI (Advanced Metering Infrastructure) Integrations** – O&M funding request updated to account for funding in RY2 and RY3 and to match the revenue requirement.
16. **Storm Response Technology Advancements** - Discussion of incremental FTEs corrected to conform to revised IT-3.

White Papers Corrected in Exhibit __(IT-7-Upd)

17. **Connected Vehicles - Enterprise Vehicle Telematics** - O&M funding request corrected to match value included in the revenue requirement and conform to Exhibit __(IT-2-Upd).

18. **CPMS Customer Data Self-Service and Data Governance and Compliance Modernization** - O&M funding reduced to match value included in the revenue requirement and conform to Exhibit __(IT-2-Upd).

19. **Learn, Talent Management & Compensation Replacement Project** - O&M funding request corrected to match value included in the revenue requirement and conform to Exhibit __(IT-2-Upd).

White Papers Corrected in IT-8-Upd

20. **ServiceNow** - O&M funding request corrected to match value included in the revenue requirement and conform to Exhibit __ (IT-2-Upd).

Q. Does this conclude the Panel's update and correction testimony?

A. Yes.